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D
Inheritance Tax



Lecture example 1-Solution

2025.6.1 Gift to husband: exempt

2025.11.4 Gift to friend: small gift exemption

	PET 2025.7.6£	PET 2025.9.27£	CLT 2025.12.24£
Transfer of value	15,000	20,000	270,000
Less: Marriage exemption	(5,000)		
Less: 2025-26AE	(3,000)		
2024-25AE b/f	(3,000)		
Chargeable amount	4,000	20,000	270,000

PET to son and nephew will not pay any IHT unless Maggie dies within 7 years of the gift.

The gift into trust is a CLT is chargeable during Maggie's lifetime.

Lecture example 2-Solution

CLT 2010.4.21	£
Gift	98,000
Less: Annual exemption 2010-11	(3,000)
Annual exemption 2009-10	(3,000)
Chargeable value	92,000
Less: Nil rate band available maximum 300,000 − 0	(92,000)
Taxable amount	0
Lifetime tax	0
Gross chargeable transfer	92,000

Lecture example 2-Solution

PET 2015.4.15	£
Gift	140,000
Less: Annual exemption 2015-16	(3,000)
Annual exemption 2014-15	(3,000)
PET	134,000

CLT 2016.3.19	£
Gift	234,000
Less: Annual exemption	(0)
Chargeable value	234,000
Less: Nil rate band available 325,000 － 92,000	(233,000)
Taxable amount	1,000
Lifetime tax 1,000×25%	250
Gross chargeable transfer 234,000 ＋ 250	234,250

Lecture example 3-Solution

No lifetime tax due on PET 2019.5.13	£
Gift	135,000
Less: Marriage exemption	(5,000)
Annual exemption 2019-20	(3,000)
Annual exemption 2018-19	(3,000)
PET	124,000

Lifetime tax on CLT 2019.8.23	£
Gift	334,000
Less: Annual exemption	0
Chargeable value	334,000
Less: Nil rate band available 325,000 － 0	(325,000)
	9,000
Lifetime tax 9,000×25%	2,250
Gross chargeable transfer 334,000 ＋ 2,250	336,250

Lecture example 3-Solution

Death tax onPET 2019.5.13	£
PET	124,000
Less: Nil rate band available maximum 325,000 — 0	(124,000)
Taxable amount	0
Death tax	0

Death tax onCLT 2019.8.23	£
GCT	336,250
Less: Nil rate band available 325,000 — 124,000	(201,000)
Taxable amount	135,250
Death tax 135,250×40%	54,100
Less: taper relief (5-6 years) 54,100×60%	(32,460)
Less: lifetime tax	(2,250)
Additional tax on death payable by trustees	19,390

Lecture example 4-Solution

	£
ABC plc shares	24,400
Summer cottage	84,000
XYZ ltd shares	68,000
Main residence	350,000
Less: outstanding mortgage	(50,000)
Less: outstanding loan	(5,750)
Less: spouse exemption	(24,400)
Chargeable estate	446,250
Less: Nil rate band available325,000 − 232,000	(93,000)
Residence nil rate band available lower of 175,000 and 350,000 − 50,000	(175,000)
Taxable amount	178,250
Tax 178,250×40%	71,300

Lecture example 5-Solution

Timothy	£
Timothy's chargeable estate	850,000
Less:Residence nil rate band available Lower of 175,000+175,000 and 300,000	(300,000)
Nil rate band from spouse 325,000×100%	(325,000)
Self nil rate band available 325,000 − (171,000 − 3,000 − 3,000)	(160,000)
Taxable amount	65,000
Tax 65,000×40%	26,000

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谢谢观看

THANK FOR WATCHING